ICAP Strategic Case Study - Summer 2026

Predicted Paper # 3 - Question Paper

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Time allowed: 4 hours 30 minutes | Total marks: 100

This paper is based on the Summer 2026 pre-seen material for Karachi Motor & Cycle Hire (Pvt.) Ltd. (KMCH). All questions are compulsory. Amounts are in Rs million unless otherwise stated. Candidates should use the spreadsheet area for workings and paste final answers into the word processor.

Scenario

It is 12 August 2026. You are a senior manager in KMCH's finance and business development team. The Board has asked for a paper on whether KMCH should use a franchise-light expansion model in selected new cities and tourist locations. Management is also considering outsourcing some maintenance and roadside-assistance activities, because the existing in-house maintenance function is already stretched.

The Finance Director has asked that the proposal should not be presented as a simple growth story. The Board wants a balanced evaluation of strategic fit, operating controls, stakeholder concerns, financial attractiveness, foreign currency risk, digital readiness, AI / data opportunities and tax implications.

You have been provided with the following appendices:

- Appendix 1 - Email from the Chief Executive Officer
- Appendix 2 - Operations note on franchising, vendor outsourcing and stakeholders
- Appendix 3 - Financial assumptions: franchise model and company-owned expansion
- Appendix 4 - Treasury note on foreign currency exposure
- Appendix 5 - IT Director note on AI, telematics, dynamic pricing and reporting
- Appendix 6 - Tax Manager note on royalties, technology fees and group taxation

Required

Question 1

(a) Evaluate the proposed franchising / licensing model for KMCH, including its impact on growth, service quality, brand reputation, customer experience and control. (18 marks)

(b) Evaluate the benefits and risks of outsourcing selected maintenance, repair and roadside-assistance activities to approved third-party vendors as KMCH expands beyond Karachi and Lahore. (10 marks)

(c) Analyse the key stakeholders affected by KMCH’s proposed franchise and outsourcing model, and recommend how the Board should manage their concerns before implementation. (10 marks)

Total Question 1: 38 marks

Question 2
(a) Calculate and evaluate the NPV of the franchise model compared with company-owned depot expansion. (16 marks)

(b) Assess KMCH's foreign exchange risk exposure from imported vehicles, spare parts, batteries and technology services, and recommend suitable hedging techniques. (12 marks)

(c) Evaluate the impact of foreign currency volatility on KMCH's expansion strategy, pricing, margins and supplier contracts. (8 marks)

Total Question 2: 34 marks

Question 3
(a) Evaluate how KMCH can use AI, big data analytics, telematics and dynamic pricing to improve utilisation, pricing, maintenance, customer experience, risk management and Board reporting. (16 marks)

(b) Discuss tax implications of royalty income, technology fees, service charges, group taxation and loss submission rules if KMCH creates a separate mobility / technology services company. (10 marks)

Total Question 3: 28 marks

Total: 100 marks

Appendix 1 - Email from the Chief Executive Officer

From: Chief Executive Officer
To: Finance and business development team
Subject: Franchise-light expansion, operating model and data platform

The Board wants to decide whether KMCH should continue to expand through company-owned depots or adopt a more asset-light model. We have identified Islamabad, Faisalabad, Multan and the northern tourist corridor as possible growth locations, but the capital required for company-owned depots is significant and could delay other priorities such as IT modernisation and fleet renewal.

Some directors believe that franchising can accelerate growth while protecting KMCH's balance sheet. Others are concerned that our premium brand could be damaged if franchisees, workshops or roadside-assistance vendors do not deliver the same standard of cleanliness, punctuality, safety checks and customer service as KMCH-owned depots.

The Chair has also asked that the proposal should consider the impact on employees, customers, regulators, insurance partners, existing depot managers and potential investors. She does not want a recommendation based only on financial return. If we franchise too early, before systems and controls are ready, we may lose control of the customer experience. If we delay too long, competitors may capture the new-city premium segment.

Please prepare advice covering the issues raised in the requirements. The Finance Director has provided financial assumptions, while the Operations Director, IT Director and Tax Manager have submitted the notes in the appendices below.

Appendix 2 - Operations note on franchising, vendor outsourcing and stakeholders

The Operations Director has prepared the following note for the CEO after visiting two potential franchise applicants and three independent workshop groups in Islamabad and Faisalabad.

The potential franchisees are financially strong local business groups with experience in transport, hospitality or logistics. They would prefer to own vehicles locally, hire depot staff themselves and pay KMCH a franchise fee, royalty and platform fee. They have asked for territory exclusivity for three years, access to KMCH's brand, booking platform, telematics dashboard, training materials and insurance templates.

The Operations Director considers franchising attractive because it could reduce KMCH's capital commitment and allow faster entry into cities where KMCH does not yet have operational depth. However, he is concerned that franchisees may focus on short-term utilisation and cash generation rather than long-term premium service standards. There is also a risk that franchisees may use lower-quality vehicles, delay maintenance, employ poorly trained drivers, or under-report complaints and damage claims.

The note also highlights that KMCH's in-house maintenance workshops in Karachi and Lahore are already operating near capacity. If KMCH expands, it may need an approved vendor network for routine repairs, tyres, emergency roadside assistance, towing and minor body work. Vendors would be easier to scale than in-house workshops, but they would also introduce risks around non-genuine spare parts, inconsistent repair quality, delays, weak documentation and disputes over responsibility for vehicle downtime.

The Operations Director has suggested that the Board should not sign any franchise or vendor agreement until KMCH has defined its minimum operating standards, audit rights, customer complaint protocol, roadside response targets, vehicle inspection checklist, insurance requirements and termination rights. He has also warned that depot staff may view franchising and outsourcing as a threat to job security unless communication is handled carefully.

The CEO has asked that the following stakeholder concerns should be considered in the Board paper:

Stakeholder group	Issues raised or expected concerns
Existing depot managers and staff	Concern that franchisees and vendors may reduce future career opportunities; fear that outsourcing will be used to reduce headcount; need for clear communication and retraining.
Potential franchisees	Request for territory exclusivity, clear brand standards, access to booking platform, marketing support and certainty on royalty / platform fee terms.
Customers and corporate clients	Need for consistent vehicle quality, punctual handover, reliable roadside support, transparent pricing and complaint handling across all cities.
Insurance partners and regulators	Need for licence checks, driver documentation, accident reporting, vehicle fitness, route permissions and compliance with provincial requirements.
Ayesha Khan and the Board	Desire to protect founder reputation and premium brand while reducing capital pressure and preparing for possible external investment.

Appendix 3 - Financial assumptions: franchise model and company-owned expansion

The Finance Director has prepared a five-year comparison between two expansion alternatives. Ignore financing costs. Tax should be calculated at 29%. Tax is paid one year in arrears. The discount rate is 15%. Working capital is invested at the beginning of each year and is recovered at the end of Year 5. Unless stated otherwise, cash flows occur at the end of each year.

Option A - Franchise model

Under this option, KMCH would initially appoint six franchisees across Islamabad, Faisalabad, Multan and selected northern tourist locations. Franchisees would own their vehicles and operate local depots under KMCH's brand standards. KMCH would create a central franchise support unit and provide access to the booking platform, telematics dashboard, training materials and brand manual.

Item	Assumption
Initial platform enhancement and franchise manual	Rs 120m paid immediately. Qualifies for tax depreciation at 25% reducing balance.
Initial training, legal and launch cost	Rs 36m paid immediately. Treat as tax-deductible in Year 1 for appraisal purposes.
Upfront franchise joining fee	Rs 18m per franchisee. Four franchisees join at the start of Year 1 and two join at the start of Year 2. Taxable when received.
Annual franchisee gross revenue	Rs 190m per active franchisee in Year 1 of operation, growing by 9% per annum.
Royalty charged by KMCH	6% of franchisee gross revenue.
Platform and telematics support fee	Rs 4.2m per active franchisee per year in Year 1 of operation, increasing by 7% per annum.
Central franchise support costs	Rs 42m in Year 1, increasing by 8% per annum.
Brand audit, training refresh and compliance cost	Rs 5m per active franchisee per year, increasing by 6% per annum.
Working capital	7% of annual royalty and platform-fee revenue.
Residual / terminal value	No terminal value should be assumed for franchise relationships unless justified separately.

Option B - Company-owned depot expansion

Under this option, KMCH would open three company-owned depots and one northern seasonal hub. The assets would be owned or controlled by KMCH and operated using KMCH staff.

Item	Assumption
Vehicle acquisition and fit-out cost	Rs 760m paid immediately. Of this, Rs 650m qualifies for tax depreciation at 25% reducing balance.
Depot setup, signage, licences and launch marketing	Rs 90m paid immediately. Treat as tax-deductible in Year 1 for appraisal purposes.
Gross rental revenue	Rs 430m in Year 1, increasing by 11% per annum.
Variable operating cost	43% of gross rental revenue.
Fixed depot staff, rent and administration cost	Rs 108m in Year 1, increasing by 9% per annum.
Maintenance escalation risk	Maintenance cost is included in variable operating cost, but the Operations Director believes it may be understated if utilisation is higher than expected.
Working capital	10% of annual gross rental revenue.

Residual value of vehicles at end of Year 5	Rs 335m. Any balancing charge or allowance should be considered in the final year tax calculation.

Additional note from the Finance Director

The Finance Director has noted that Option A may look less profitable in early years because the central support team is built before all franchisees are operational. However, it preserves cash and may be scalable. Option B gives KMCH more control over service quality and vehicle utilisation, but it exposes the company to vehicle residual-value risk, higher fixed costs and possible delays in depot licensing.

Appendix 4 - Treasury note on foreign currency exposure

The Treasury Manager has warned that the expansion plan has more foreign currency exposure than is apparent from the initial Board discussion. KMCH has historically purchased many premium vehicles and replacement parts through local distributors, but distributor prices are often linked to USD movements.

The following exposures have been identified for the next 12 months if the franchise and company-owned expansion plans proceed in some form:

Exposure	Currency and amount	Timing	Current / indicative rate	Comments
Imported SUVs and premium sedans for company-owned depots	USD 2.6m	50% payable in three months; 50% in six months	Spot: Rs 283 / USD; six-month forward quote: Rs 295 / USD	Supplier price can be fixed if KMCH signs a purchase order and provides a bank guarantee.
Spare parts, tyres and battery modules	USD 0.75m	Purchased quarterly	Spot: Rs 283 / USD	Inventory policy is currently reactive; emergency purchases are often made at unfavourable rates.
Telematics devices and vehicle sensors	USD 0.42m	Payable in four months	Four-month forward quote: Rs 291 / USD	Required for franchise reporting and vehicle tracking.
Cloud platform and mapping subscription	USD 28,000 per month	Monthly for three years	Supplier invoices in USD; no forward quotation obtained	Subscription cost may increase with number of vehicles and API calls.
Possible foreign training consultant	EUR 0.18m	Payable in two instalments over nine months	EUR / PKR rate not yet fixed	IT Director believes local training can cover part of the requirement.

The Treasury Manager has also noted that bank borrowing rates remain high, and foreign exchange hedging lines are not unlimited. The relationship bank has offered forward contracts but requires margin collateral. Currency options are available through another bank, but the premium is considered high. The Board has asked whether KMCH should hedge fully, partially, or rely on supplier negotiations and natural hedging through franchise fees.

Appendix 5 - IT Director note on AI, telematics, dynamic pricing and reporting

The IT Director has informed the CEO that KMCH's current platform can support basic reservations, customer records, payment confirmation and vehicle allocation. However, the platform was not designed to handle franchisee reporting, predictive maintenance, dynamic pricing or real-time Board dashboards across multiple independent operators.

He believes KMCH could use the next phase of platform development to introduce the following capabilities:

Area	Potential use	Data required / risks noted by IT Director
Dynamic pricing	Adjust rental rates by city, season, utilisation, vehicle category, advance-booking period and competitor pricing.	Requires clean historical booking data, competitor price feeds, approval limits and controls to avoid unfair or confusing pricing.
Predictive maintenance	Use mileage, telematics alerts, harsh driving, service history and breakdown data to predict failures before vehicles become unavailable.	Requires reliable sensor data and integration with franchisee / vendor maintenance records. Poor data could produce false alerts or missed repairs.
Customer segmentation	Identify corporate, airport, tourist, family and premium self-drive customers and tailor offers.	Requires consent, data privacy controls and monitoring to avoid discriminatory or intrusive targeting.
Risk scoring	Flag unusual bookings, repeat damage claims, licence anomalies and high-risk routes.	Could reduce fraud and accident losses, but needs human review and clear escalation criteria.
Board dashboard	Show utilisation, customer ratings, complaints, vehicle downtime, vendor performance, franchise compliance, revenue per vehicle and safety incidents.	Manual workarounds and delayed depot spreadsheets must be eliminated before the dashboard is reliable.

The IT Director has warned that AI tools should not be introduced as stand-alone add-ons. Data definitions, access rights, cybersecurity, audit trails, exception reporting and responsibility for model outputs must be agreed first. He has also warned that franchisees may resist sharing complete booking, pricing and complaint data if data-sharing obligations are not included in the franchise agreement.

Appendix 6 - Tax Manager note on royalties, technology fees and group taxation

The Tax Manager has reviewed the preliminary idea of creating a separate company, KMCH Mobility Services (Pvt.) Ltd., to manage brand licensing, platform access, training, telematics support, franchise audits and technology services. He has not provided a final opinion but has raised issues for the Board paper.

If KMCH or a separate mobility / technology company charges franchisees royalty, technology fee, management service fee, training fee or audit fee, the tax treatment will depend on the legal form of the agreement, the nature of the service, the timing of invoicing and the applicable income tax and sales tax laws. The Tax Manager has asked that management should not assume that all receipts are taxed in the same way or at the same time.

He has also noted that if a separate company is formed, the group will need to consider whether expenses and losses sit in the same legal entity as the related income. Early platform development, training and launch costs may create losses in the new company before recurring fee income becomes stable. The possibility of group relief, group taxation, loss surrender or loss set-off should be reviewed before the structure is finalised.

The Tax Manager has asked the Board to ensure that inter-company arrangements are supported by written agreements, Board approvals, invoices, evidence of services provided, allocation basis for shared costs and documentation showing that charges are commercially supportable. He has also highlighted that provincial sales tax may apply to technology support, management services, training, franchise services or other taxable services depending on the province and classification of the service.

The Finance Director has asked for a concise explanation of the main income tax, sales tax and documentation issues that should be considered before deciding whether to create the separate mobility / technology services company.